

LUANSHYA MUNICIPAL COUNCIL



FINANCIAL STATEMENTS FOR YEAR ENDED 31ST DECEMBER 2022

Luanshya Municipal Council
14th Street Zaone Avenue
P O Box 90140
LUANSHYA

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2022 which disclose the sources, utilization and balances of cash for Luanshya Municipal Council during the period under review.

Background and Location of the Council

The Council is located in Luanshya District on the Copperbelt Province of Zambia 35 Kilometers (Km) south-west of Ndola, the provincial capital of the Copperbelt Province and about 352 Kilometers (Km) north of Lusaka City, the nations capital. It shares borders with Kitwe City on the west, Ndola City on the north-east, Masaiti district on the south-east, Mpongwe district on the south-west near Kafue River and Lufwanyama district on the north-west. It lies on an approximate latitude of 13° 7' 59.880"s and longitude 28°23' 60.00". The District has an altitude of 1257m above sea level and covers an area of 1, 007.6087 Square Kilometers (Km²) in extent.

Luanshya district has a total area of 1, 007.6087 Square Kilometers (Km²). According to the 2010 Population and Housing Census, the total population of Luanshya was 156, 059 with an average annual population growth rate of 0.5%. The population is segregated as 77,368 males being 49.6% of the Population and 78,691 females being 50.4% of the population (Census 2010-Zambia Population and Demographic Projection for 2011 – 2035, Luanshya is projected to have a population of 177, 934 by 2020).

The main economic activities in Luanshya district are mining and agriculture. The District is endowed with copper ore deposits hence making mining a major economic activity.

The address of the registered office of Luanshya Municipal Council (LMC) is as follows:

The Civic Centre
14th Street Zaone Avenue
P O Box 90140
Luanshya

REPORT OF THE COUNCIL

Composition of the Council

Luanshya Municipal Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No. 2 of 2019. As a Local Authority, the Municipal Council administers the Luanshya District.

The Council is composed of an elected Mayor, thirty (30) elected councilors from thirty (30) wards, as provided for under Article 153 (2) (c) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The Current Council was elected to office in 2021 to serve a five year term up to 2026. The Deputy Mayor was elected from among the councilors in 2021 for the period of two and half years.

REPORT OF THE COUNCIL

On 12th August 2021, the current council was elected in office. The Councilors' who holds office since then are:

S/N	NAME	GENDER	POSITION	WARD
1	Charles Mulenga	Male	Mayor	Not applicable
2	Angel Edward Kahale	Male	Deputy Mayor	Lumumba
3	Samson Kombe	Male	Councillor	Baluba
4	Allan Mumba	Male	Councillor	Fisenge
5	Nelius Simfukwe	Male	Councillor	Chitwi
6	Charles Mwila	Male	Councillor	Twashuka
7	Meran Bwalya	Male	Councillor	Buntungwa
8	Austin Zimba	Male	Councillor	Kamuchanga
9	Raban Mulaisho	Male	Councillor	Mwaiseni
10	Paul Mulenga	Male	Councillor	Mulungushi
11	Emmanuel Chewa	Male	Councillor	Zambezi
12	Nelson Choondwe	Male	Councillor	Mikomfwa
13	Clara Mutale	Female	Councillor	Levi Chito
14	Evans Mulusa	Male	Councillor	Mipundu
15	Noel Chitenta Mwansa	Male	Councillor	James Phiri
16	Chisanga Chisanga	Male	Councillor	Buteko
17	Fred Sakala	Male	Councillor	Mpelembe
18	Bentry Chisha	Male	Councillor	Chawama
19	Moses Silungwe	Male	Councillor	Maposa
20	Joseph Nsama	Male	Councillor	Kawama
21	Shadreck Nkonde	Male	Councillor	Nkoloma
22	Alicks Mafuta	Male	Councillor	Kafubu
23	Elton Zuze	Male	Councillor	Chilabula
24	Carlos Lungu	Male	Councillor	Kafue
25	Paul Mwila	Male	Councillor	Justine
26	Brian Mwape	Male	Councillor	Kabwe
27	Godfrey Mwewa	Male	Councillor	Nkulumashiba
28	Angela Kayekesi	Female	Councillor	Mpatamatu
29	Richard Sendoi	Male	Councillor	Milyashi
30	Abel Mfunu	Male	Councillor	Ngebe
31	Derrick Chibwe	Male	Councillor	Kansengu
				Buyantanshi

The District also has two (2) elected Members of Parliament one for Luanshya Central Constituency and the other for Roan Constituency. The Members of Parliament that held office since elections were:

S/N	NAME	GENDER	CONSTITUENCY
1	Lusale Simbao	Male	Luanshya
2	Joel Chibuye	Male	Roan

REPORT OF THE COUNCIL

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review the Luanshya District had Mr. Ngonomo Once more as District Commissioner.

The Council Secretariat

The Secretariat of Luanshya Municipal Council is headed by the Town Clerk. The Town Clerk and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Town Clerk is assisted by seven (7) Directors responsible for Legal, Finance, Planning, Engineering, Public Health, Human Resource and Administration, and Housing and Social Services and two (2) Heads of Units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2022	2021
	Kwacha	Kwacha
Cash Receipts	104,585,681	52,141,406
Payments	66,917,260	56,844,309
Increase in Cash and Cash Equivalents	<u>37,668,421</u>	<u>(4,702,903)</u>

Financial Results Key Policies Adopted During the Year

The Council adopted the following policies during the year:

- Introduction of fees and charges for renting of Council and sub division of property.
- Upward adjustment of fees and charges for fire arm and marriage by 50%.
- Upward adjustment of fuel by 6.4% to which increased cost of service delivery.
- Upward adjustment of the electricity tariffs which resulted also in the increased cost of service delivery.

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to K3, 088,801.

REPORT OF THE COUNCIL

No property, plant and equipment were disposed of during the year.

Intangible Assets

The Council did not procure any intangible assets during the period under review.

Employees

The average number of employees and the cost spent was as follows;

	2022	2021
Number of Employees	609	637
Amount Spent (K)	<u>42,542,945</u>	<u>34,372,963</u>

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year incurred K386, 425 towards sponsoring various sporting activities.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Signature

Name.....

Position: Mayor

Date.....

11/12/2023

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Luanshya Municipal Council is responsible for preparing the financial statements for the year ended 31st December 2020 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Amended Local Authorities Accounting Policies (LAAPs) of November 2022 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 8 to 10.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Amended Local Authorities Accounting Policies (LAAPs) of 2022.

The Council further accepts responsibility:

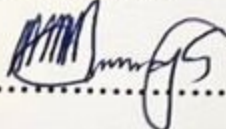
- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Luanshya Municipal Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of financial statements that present fairly the financial results of the Municipal Council for the financial year ended 31st December, 2022.

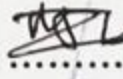
Signed on behalf of the Council 2023 by;

Name: Charles Mulenga

Signature: 

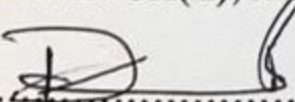
Position: Mayor

Name: Zakeyo Mbao FCCA, FZICA

Signature:  11 DEC 2023

Position: Town Clerk

Name: David Silwamba CA(Z), AZICA, FMVA

Signature: 

Position: Director of Finance



REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

INDEPENDENT AUDITOR'S REPORT

STAND No.7951
HAILE SELASSIE AVENUE,
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA

E-mail: auditorg@ago.gov.zm

Website: www.ago.gov.zm

Telephone: +260252611/252771

To: The Minister – Ministry of Local Government and Rural Development (MLGRD))

Report on the Audit of the Financial Statements of Luanshya Municipal Council

Unmodified Opinion

I have audited the financial statements of the Luanshya Municipal Council for the financial year ended 31st December, 2022 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information on pages 12 to 40.

In my opinion, the accompanying financial statements of Luanshya Municipal Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December, 2022 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Amended Local Authorities Accounting Policies (LAAPs) of 2022.

Basis for Unmodified Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Luanshya Municipal Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Emphasis of Matter

I draw attention to part 1.1 to the financial statements which describe the roadmap of the Council to adoption of Accrual Basis Financial Reporting Framework as result of which the Council has not produced Accrual Basis type of financial statements required by the Local Government Act No. 2 of 2019.

My opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Amended Local Authorities Accounting Policies (LAAPs) of 2022, and for such internal controls as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Council or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.



REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Council to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE
ACTING AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL

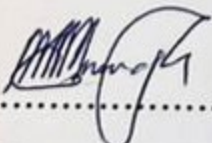
DATE: 19.12.2023

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2022

	Note	2022 Kwacha	2021 Kwacha
RECEIPTS			
Local Taxes	2	34,482,706	26,450,594
Fees and Charges	3	7,112,284	6,629,702
Licences	4	1,251,553	961,082
Levies	5	125,342	68,878
Permits	6	1,414,820	1,743,173
Local Government Equalisation Fund	7	11,908,670	13,007,972
Constituency Development Fund	8	47,479,822	3,200,000
Other Grants	9	300,000	50,000
Borrowings	10	-	-
Commercial Venture	11	(284)	(27,993)
Other Receipts	12	510,768	57,999
TOTAL RECEIPTS		104,585,681	52,141,406
PAYMENTS			
Personal Emoluments	13	42,542,944	34,372,963
Use of goods and services	14	9,981,461	11,313,928
Financial Charges	15	179,672	80,428
Social benefits	16	10,153,999	778,669
Non-financial assets acquisition	17	3,088,801	10,298,321
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	970,383	-
TOTAL PAYMENTS		66,917,260	56,844,309
Increase/(decrease) in Cash		37,668,421	(4,702,903)
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	3,389,275	8,092,177
Cash at the end of the year	22	41,057,696	3,389,275

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name: Charles Mulenga

Signature: 

Position: Mayor

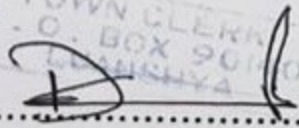
Name: Zakeyo Mbao FCCA, FZICA

Signature:  

Position: Town Clerk

Name: David Silwamba CA, AZICA, FMVA

Position: Director of Finance

Signature: 

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE
YEAR ENDED 31ST DECEMBER 2022**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	40,775,666	-	40,775,666	34,482,706	85%	(6,292,960)	-15%
Fees and Charges	12,242,187	-	12,242,187	7,112,284	58%	(5,129,903)	-42%
Licences	180,700	-	180,700	1,251,553	693%	1,070,853	593%
Levies	852,965	-	852,965	125,342	15%	(727,623)	-85%
Permits	1,490,610	-	1,490,610	1,414,820	95%	(75,790)	-5%
Local Government Equalisation Fund	13,592,580	-	13,592,580	11,908,670	88%	(1,683,910)	-12%
Constituency Development Fund	51,400,000	-	51,400,000	47,479,822	92%	(3,920,178)	-8%
Other Grants	-	-	-	300,000	-	300,000	-
Borrowings	-	-	-	-	-	-	-
Commercial Venture	166,700	-	166,700	(284)	0%	(166,984)	-100%
Other Receipts	-	-	-	510,768	-	510,768	-
TOTAL RECEIPTS	120,701,408	-	120,701,408	104,585,681	87%	(16,115,727)	-13%
PAYMENTS							
Personnel Emoluments	39,858,853	-	39,858,853	42,542,944	107%	2,684,091	7%
Use of goods and services	18,295,193	-	18,295,193	9,981,461	55%	(8,313,732)	-45%
Financial Charges	192,000	-	192,000	179,672	94%	(12,328)	-6%
Social benefits	23,310,000	-	23,310,000	10,153,999	44%	(13,156,001)	-56%
Non-financial assets acquisition	33,363,125	-	33,363,125	3,088,801	9%	(30,274,324)	-91%
Financial Assets	2,945,537	-	2,945,537	-	0%	(2,945,537)	-100%
Loan Repayments	-	-	-	-	-	-	-
Other payments	2,736,700	-	2,736,700	970,383	35%	(1,766,317)	-65%
TOTAL PAYMENTS	120,701,408	-	120,701,408	66,917,260	3	(53,784,148)	-45%
Increase/(Decrease in Cash	-	-	-	37,668,421		37,668,421	

The composition of budget adjustments and explanations of major variances are provided in note 23

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2022

		2022 Kwacha	2021 Kwacha
RECEIPTS			
Funding	7(a)	11,908,670	13,007,972
TOTAL RECEIPTS		11,908,670	13,007,972
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		9,190,147	10,406,378
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		-	-
Goods and Services		-	-
Administrative Costs		-	-
Other Costs		336,789	-
Sub-Total		9,526,936	10,406,378
Capital Expenditure Payments:	7(c)		
Infrastructure Development		201,135	-
Rehabilitation Works		412,441.00	2,601,594
Asset Acquisition		445,200	-
Other Costs		1,296,831	-
Sub-Total		2,355,607	2,601,594
TOTAL PAYMENTS		11,882,543	13,007,972
Increase/(decrease) in cash		26,127	-
Cash at the beginning of the year		374,812	374,812
Cash at the end of the year		400,939	374,812

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2022**

		2022	2021
		Kwacha	Kwacha
RECEIPTS			
Funding	8(a)	47,479,822	3,200,000
Other sources	8(b)	510,768	57,999
TOTAL RECEIPTS		47,990,590	3,257,999
PAYMENTS			
Infrastructure Development	8(c)	923,643	1,516,368
Rehabilitation Works	8(d)	573,202	237,749
Asset Acquisition	8(e)	182,905	499,858
Empowerment	8(f)	8,383,090	469,725
Administrative Costs	8(g)	970,383	369,598
TOTAL PAYMENTS		11,033,224	3,093,298
Increase/(decrease) in Cash		36,957,366	164,701
Cash at beginning of the year		3,377,572	3,212,871
Cash at the end of the year		40,334,938	3,377,572

Note 8 explain the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, Financial Reporting under the Cash Basis of Accounting, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Luanshya Municipal Council is required, under the Local Government Act No.2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, Financial Reporting under the Cash Basis of Accounting.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act No. 13 of 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December 2025. The Council is preparing to adopt Accrual Basis IPSASs on 1st January 2025
- (c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:
 - i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting
 - ii. Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
 - iii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called ‘Encouraged Additional Disclosures’ in Cash Basis financial statements for the years ending 31st December 2019 up to 2024.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iv. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- v. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, Financial reporting under the Cash Basis of accounting to help it transit its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Luanshya Municipal Council (LMC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalization Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue on by the ordinary/ special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Luanshya Municipal Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act No. 3 of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leivable persons owning or occupying property or premises situated within the area of the District;
- leivable persons carrying on a business, trade or occupation within the area of the District; or
- The purchase or sale of a commodity within the area of the District.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

b. Fees and Charges

Section 27(1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act No. 3 of 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements.

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values. The Council recognizes all short term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalization Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament. The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise of actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- Land Current Value
- Buildings Cost or Market Value
- Plant and Equipment Cost

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The key management personnel of the Council are:

- (a) the Mayor, elected councillors, Co-opted members of the Audit and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Luanshya Municipal Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Luanshya Municipal Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated K34, 482,706 as local tax cash receipts as follows:

Local Tax Type	2022	2021
	Kwacha	Kwacha
Residential Rates	3,937,602	2,075,290
Industrial / Commercial Rates	4,576,140	3,784,524
Mining Rates	25,889,470	20,500,000
Personal Levy	79,494	90,780
TOTAL	34,482,706	26,450,594

The Council relied on the Valuation Roll updated for the period 2020-2024 to determine the property rates receivable.

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2022	2021
	Kwacha	Kwacha
Fees and charges	5,266,317	5,487,801
Land Development Charges	1,845,967	1,141,901
Total	7,112,284	6,629,702

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated K5, 266,317 in fees and charges as follows:-

Fees and Charges Type	2022	2021
	Kwacha	Kwacha
Consent Fees	24,900	69,757
Survey Fees	68,450	125,470
Building Inspection fees	231,705	76,887
Plan Scrutiny Fees	135,428	101,621
Change of premise use	12,250	1,975
Container Ntemba Fees	28,200	7,715
Rentals/Lease of Council's properties	541,262	271,590
Application Form Fees	907,950	393,072
Rentals from houses	4,400	
Sketch Fees	15,650	19,063
Search Fees	20,550	8,261
Market Fees	548,114	553,567
Parking Fees	207,607	200,142
Bus Station Fees	661,905	627,013
Affidavit Fees	18,620	18,342
Hire of Halls	7,000	2,700
Hire of Grounds	500	
Gym Fees	400	
Grave Reservation	12,800	23,150
Course fees	1,700	7,636
Refuse Disposal Fees	47,795	60,667
Home Craft Registration	300	
Library Membership Fees	17,336	15,110
Notice of Marriage	75,400	75,928
Abattoir/Meat Inspection Fees	34,250	31,650
Registration of Clubs and Societies	46,300	17,363
Farm Produce Levy		15,500
Communication Mast Levy	157,500	243,704
Billboard and Banner	113,710	146,230
Lease of Council Transport	2,400	
Penalties	99,750	54,200
Site Rent	147,849	58,697
Change of ownership of plot	256,205	86,090
Registration of Suppliers		300
Medical Fees	34,190	40,665
Home Craft Registration		3,000
Rent/Rates Debtors	-	1,033,291
Other Fees and Charges	669,585	1,097,449
Donation	300	
other Income	114,057	
Total	5,266,317	5,487,801

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected K1,845,967 from the following land development related charges.

Charges Type	2022	2021
	Kwacha	Kwacha
Service charges - residential plots	28,500	782,494
Service charges - Industrial plots	54,900	352,175
Premium plots - Residential	1,190,968	
Premium plots - Commercial	521,285	
Other Charges (Service Charges Debtors)	50,314	7,232
TOTAL	1,845,967	1,141,901

4. Licences

A total of K1, 251,553 cash receipts was raised from issuance of various licences.

Licence Type	2022	2021
	Kwacha	Kwacha
Business Levy	180,869	-
Manufacturers licence	248,297	468,949
Retail licence	118,711	194,874
Wholesale licence	121,001	82,865
Liquor licence	32,610	48,190
Liquor Business Levy	3,840	-
Financial Institution	120,000	-
Firearm and ammunition licence	22,100	18,001
Petroleum licence	299,000	81,382
Dog licence	13,975	18,740
Occupancy licence	89,650	23,225
Other licences	1,500	24,855
TOTAL	1,251,553	961,082

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated K125, 342 as cash receipts by charging levies as follows:

Type of Levy	2022 Kwacha	2021 Kwacha
Bird Levy	30,500	32,000
Quarry Levy	-	-
Pole Levy	6,030	8,280
Sand Levy	-	338
Miscellaneous levies	88,812	28,260
TOTAL	125,342	68,878

6. Permits

The Council generated K1, 414,820 as cash receipts from issuing various permits as follows:

Type of Permit	2022 Kwacha	2021 Kwacha
Health Permit	469,765	578,574
Opaque Permit	5,280	7,723
Herbal Permit		
Milk Transportation Permit	1,200	1,200
Nusery Permit		9,331
Fire Certificates	603,500	461,096
Burial Permits and Grave sites	277,574	666,957
Extension of business hours permits	800	
Public permits (social gatherings, etc)	250	500
Other Permits	56,451	17,793
TOTAL	1,414,820	1,743,173

7. Local Government Equalisation Fund

a. Funding

	2022 Kwacha	2021 Kwacha
1st Funding	11,908,670	13,007,972
2nd Funding	-	-
TOTAL	11,908,670	13,007,972

NOTES TO THE FINANCIAL STATEMENTS

Detailed report for Local Government Equalisation Fund received in 2022

S/n	Date	Kwacha LGEF 2022	Date	Kwacha LGEF 2021
1	03/02/2022	1,120,176	05/01/2021	1,066,558
2	28/02/2022	1,000,947	27/01/2021	1,082,719
3	23/03/2022	964,228	23/03/2021	916,650
4	29/04/2022	978,641	26/03/2021	162,406
5	24/05/2022	1,014,301	07/04/2021	1,069,352
6	06/07/2022	987,617	23/04/2021	1,069,353
7	27/07/2022	955,117	03/06/2021	1,066,865
8	31/08/2022	991,433	30/06/2021	1,076,865
9	30/09/2022	991,311	03/09/2021	1,074,077
10	28/10/2022	959,231	30/09/2021	1,068,761
11	02/12/2022	990,294	29/10/2021	1,116,865
12	23/12/2022	955,376	01/12/2021	2,237,500
		11,908,670		13,007,972

b. Operational Expenditure

The Council applied amounts totalling K9, 526,936 of LGEF receipts towards meeting operational expenses representing 80% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Council applied amounts totalling K2, 381,734 LGEF receipts towards meeting capital expenditure representing 20% of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analysed as follows:

a) CDF Funding

Constituency	2022 Kwacha	2021 Kwacha
Luanshya	23,739,911	1,600,000
Roan	23,739,911	1,600,000
Total Funding	47,479,822	3,200,000

NOTES TO THE FINANCIAL STATEMENTS

b) Other CDF Sources of Funding

	2022	2021
Constituency	Kwacha	Kwacha
Luanshya	252,054	27,740
Roan	258,714	30,259
Total Other Sources	510,768	57,999

Other CDF sources of funding consisted interest earned on the amounts held in CDF bank accounts.

c) Infrastructure Development

	2022	2021
Constituency	Kwacha	Kwacha
Luanshya	579,010	1,056,975
Roan	344,634	459,393
Total Infrastructure development payments	923,643	1,516,368

d) Rehabilitation Works

	2022	2021
Constituency	Kwacha	Kwacha
Luanshya	482,218	-
Roan	90,984	237,749
Total Rehabilitation payments	573,202	237,749

e) Asset Acquisition

	2022	2021
Constituency	Kwacha	Kwacha
Luashya	118,896	-
Roan	64,009	499,858
Total Asset Acquisition Payments	182,905	499,858

NOTES TO THE FINANCIAL STATEMENTS

f) Empowerment

	2022	2021
Constituency	Kwacha	Kwacha
Luashya	4,995,948	269,725
Roan	3,387,142	200,000
Total empowerment Payments	8,383,090	469,725

g) Administrative Costs

	2022	2021
Constituency	Kwacha	Kwacha
Luanshya	521,077	153,754
Roan	449,306	215,845
Total	970,383	369,599

9. Other grants

During the year, the Council received the following other grants:

Revenue Source	2022	2021
	Kwacha	Kwacha
Grants in Lieu of Rates	300,000	50,000
Grants from Cooperating Partners		
Other		
TOTAL	300,000	50,000

10. Borrowings

During the year under review, the Council had no undertaking with any lending institution.

NOTES TO THE FINANCIAL STATEMENTS

11. Council Commercial Venture

This consists of receipts and payments relating to operations of Baluba Motel owned by the Council. However, the Council had a deficit of K284.

	2022	2021
	Kwacha	Kwacha
Receipts		
Tailoring Sales Receipt	15,450	73,866
Shoe making Sales Receipt	-	16,310
Baluba Motel Rentals		
Others	1,250	2,405
TOTAL	16,700	92,581
Payments		
General Administration	4,024	16,173
Shoe making Sales Costs		10,723
Tailoring Sales Costs	7,960	61,354
Wages		32,325
Investments Interest		
Others	5,000	
TOTAL	16,984	120,574
Surplus/deficit	-284	-27,993

12. Other Receipts

The Council received amounts totaling K510,768 in its two CDF bank accounts as interest earned for the period under review. Therefore, the amounts in question could not be recognized under any particular class of receipts in the financial statements except as 'other receipts'.

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2022	2021
	Kwacha	Kwacha
Salaries Division 1	7,990,127	6,162,068
Salaries Division 2	7,770,183	6,344,301
Salaries Division 3	6,802,782	4,891,377
Wages- Division 4	14,446,924	12,769,544
Other wages	5,532,929	4,205,673
TOTAL	42,542,944	34,372,963

NOTES TO THE FINANCIAL STATEMENTS

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2021 Kwacha	2021 Kwacha
Office Running Costs	1,570,191	1,090,390
Building, Repair and Maintenance Costs	282,437	425,682
Plant, Machinery and Vehicle Running and Maintenance Costs	2,710,889	3,417,070
Other Administrative operating costs	582,822	909,190
Requisites	867,566	835,643
Services	1,340,283	2,231,369
Travel expenses	1,554,557	1,213,635
Training	287,297	298,915
Medical costs	584,801	380,459
Other costs	200,617	511,576
TOTAL	9,981,461	11,313,928

15. Financial Charges

The Council paid amounts totalling K179, 672 in financial charges.

	2022 Kwacha	2021 Kwacha
Bank Charges	179,672	80,428
TOTAL	179,672	80,428

16. Social Benefits

Social benefits include payments towards death on duty, burial, CDF Empowerment costs and other benefits. During the year, the Council made social benefit payments amounting to K10,153,999.

	2022 Kwacha	2021 Kwacha
Funeral Grant	210,962	317,283
Terminal Benefits	1,458,447	381,386
Long Service Bonus	101,500	80,000
CDF Empowerment Costs	8,383,090	
TOTAL	10,153,999	778,669

NOTES TO THE FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Non-financial Asset Acquisition involved the following payments:

a) Tangible Assets

	2022	2021
	Kwacha	Kwacha
Air Conditioning Equipments	181,410	78,860
Electrical Equipments	-	332,405
Computers and Peripherals (Printers)	284,999	108,100
purchase of the Front end loader	-	1,759,000
Purchase of a Grader	-	2,563,000
Assets-Crates for Baluba Motel	15,550	-
CDF Assets	182,905	565,358
CDF Infrastructure	923,643	-
CDF Rehabilitation	573,202	-
Rehabilitation of Buildings and Fixtures	468,883	4,829,698
Office furniture	458,209	54,400
Purchase of Two Motor Vehicles	-	-
TOTAL	3,088,801	10,290,821

b) Intangible Asset

	2022	2021
	Kwacha	Kwacha
Other Intangible Assets - Internet Software		7,500.00
TOTAL	-	7,500.00

18. Financial Assets

The Council did not acquire any financial assets during the period under review.

19. Loan Repayments

The Council had no loan with any institution.

20. Other payments

During the period under review, the Council made payments under CDF as Administrative costs totaling to K970, 383.

21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

NOTES TO THE FINANCIAL STATEMENTS

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2022	2021
	Kwacha	Kwacha
Cash on hand	845	10,472
Demand Deposits	41,056,850	3,378,803
Cash equivalents	-	-
TOTAL	41,057,695	3,389,275

a. Cash on hand

The Council's cash on demand was made of cash collections and petty cash:

	2022	2021
	Kwacha	Kwacha
Cash collections undeposited	845	10,472
Petty Cash	-	-
TOTAL	845	10,472

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2022:

Account Name	Account No	2022	2021
		Kwacha	Kwacha
Levies Account	Atasmara -0310100900009	2,145	-
Operations Account	Atasmara-0310476108015	14,573	-
Transit Account	Atasmara-0310577924001	90,777	9,687
Project Fund A/C	Zanaco-0120321300172	134,218	568
Markets Account	Zanaco-0532898300108	3,025	- 18,788
Transit Account	Zanaco-5703833300356	103,241	128
Operations Account	Zanaco -5703833300255	4,176	- 7,246
Fire Account	Zanaco-5703833300154	22,643	3,983
Luanshya Constituency Account	Zanaco-0120204300186	18,998,203	1,703,386
Roan Constituency Account	Zanaco-1379123300178	21,336,736	1,674,186
Salaries Account	Zanaco-1102109300146	108,616	- 6,903
Commercial Account	Barclays-0000001081359	130,807	2,658
Main Ward Account	Atasmara-0310437447016	48,125	1,344
Baluba Investments	Zanaco-5693307500152	3,052	3,336
ZNBS	ZNBS-06714182233201-0	1,906	11,416
Capital ZNBS-LGEF	ZNBS-0671237303201-0	54,608	1,046
TOTAL		41,056,850	3,378,803

NOTES TO THE FINANCIAL STATEMENTS

c. Cash Equivalents

The Council didn't hold any treasury bill at the end of the year under review.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 22nd February 2022. There was no supplementary budget made in the year under review.

b. Budget Variance

- **Fees and Charges**

The Council planned to generate K12,242,187 from fees and charges but collected K7,112,284 resulting in variance of 42%. The variance was due to economic challenges due to the Covid 19 pandemic.

- **Licences**

The Council planned to generate K180,700 from licenses but collected K1,251,553 resulting in a positive variance of 593%. The variance was due to under budgeting.

- **Levies**

The Council planned to generate K852,965 from levies but collected K125,342 resulting in unfavorable variance of 85%. The variance was due to mainly decreased revenue sources and collection strategies with the Covid-19 Pandemic.

- **Commercial Venture**

The Council planned to generate K166,700 from the Commercial venture but had a deficit of K284 resulting in an unfavorable variance of 100%. The variance was due to the venture not yet being operational.

- **Personal Emoluments**

The Council planned to Spend K39,858,853 for personal emoluments but spent 42,542,944 resulting in a negative variance of -7%. The over expenditure is due to 12.5% salary increment that was effected by the Government to Local Government workers effective 1st January 2022 and also over staffing due to officers sent on transfer by the Local Government Service Commission.

- **Use of Goods and Services**

The Council planned to Spend K18,295,193 from use of goods and services but spent 9,981,461 resulting in variance of 45%. The variance was due to some activities being cancelled as a result of Covid 19 Pandemic.

NOTES TO THE FINANCIAL STATEMENTS

- **Social benefits**

The Council planned to Spend K23,310,000 as financial charges but spent K10,153,999 resulting in variance of 56%. The variance was due to economical challenges experienced by the institution.

- **Non-financial Assets**

The Council planned to Spend K33,363,125 for non-financial assets charges but spent K3,088,801 resulting in variance of 91%. The variance was due to economical challenges experienced by the institution.

- **Financial Assets**

The Council planned to Spend K2,945,537 as an investment in the commercial Venture but spent nothing resulting in variance of 100%. The variance was due to economical challenges experienced by the institution.

NOTES TO THE FINANCIAL STATEMENTS

24. Provision of Services

The Municipal Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

Type of Services	2022 Kwacha	2021 Kwacha
Wages - Div IV	13,927,354	12,769,544
Building Maintenance (Maitenance,consumables,Cleanin	33,546	88,316
Petrol ,Oil and Lubricants	1,518,177	1,064,796
Servicing of Grader/Fire Tender	221,404	264,725
Spare Parts	203,859	182,198
Tyres	255,410	116,310
Repairs	44,715	3,436
Insurance	50,000	132,701
Boards Councils and Committees allowances	178,537	69,979
Hand tools and equipment	67,185	169,230
Protective Wear, Clothing and Uniforms	250,778	215,312
Street light equipment	166,570	
Road maitenance materials	360,607	1,575,040
Insecticides		960
Veterinary Materials		
Nuseries		6,335
Mayors donation	17,800	50,533
Audit fees		4,700
Printing		10,800
Advertising and Publicity.	10,000	2,500
Public functions and ceremonies	166,092	59,128
Public libraries and community		80,010
State Fuctions		2,019
Board,Council and Committee expenses	106,579	350,751
Relief,Repatriation and Burial of Destitutes	17,810	14,720
Cultural Promotions	5,700	3,000
Staff Welfare and Recreation	386,425	295,420
Land Demarcation and Survey	4,614	141,564
Bush Clearing and Grass cutting/Wards	196,602	
Development & Maitenance of Cementaries		15,000
Valuation of properties	10,000	
Labour day expenses and Awards	57,375	51,200
Creation and Maitenance of Parks	79,960	30,540
Provision of Fire services	25,640	151,217
Waste and Refuse collection	396,792	412,108
In and outdoor Spraying and disfection		172,364
Conferences,Seminars and Workshops	57,252	195,300
Bank charges	179,519	76,823
Water Facility Supply		
Drainage System		
Market facilities		149,280
Other services	12,373,157	3,988,341
Industrial Buildings	461,007	3,160,583
Other Machinery and Equipment		4,322,000
Other specialised Vehicles		
	31,830,465	30,398,782

NOTES TO THE FINANCIAL STATEMENTS

25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K47,307,790.

	Office and Fixtures	Land and Buildings	Plant & Machinery	Intangible Assets	Motor vehicles	TOTAL
	K	K	K	K	K	
Opening balance	1,498,659	39,356,446	4,907,032	43,788	1,066,033	46,871,958
Additions	1,004,177	2,084,624			-	3,088,801
Revaluation	-					
Re-classification	-					-
Disposal	-	-				-
total	2,502,836	41,441,071	4,907,032	43,788	1,066,033	49,960,759
Depreciation	375,425	828,821	1,226,758	8,758	213,207	2,652,969
Closing balance	2,127,410	40,612,249	3,680,274	35,030	852,826	47,307,790

26. Investments in Other Entities

The Council held shares in the following entities:

Name Of Entity	Principal Activity	Percentage Shareholding
Baluba Investment Holdings		90%

The Council did not receive any dividends from its investments during the period under review.

27. Administered Transactions

The Council did not administer any transaction with other institutions in the period under review.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Luanshya Municipal Council:

a. Fringe benefits Disclosures

The Mayor was provided with a “Ceremonial Vehicle”, an office and personal secretary. He was also entitled to Sitting Allowance of K84,000 and transport refund of K14,400. The Town Clerk was also provided with a personal-to-holder car, an office and personal secretary.

NOTES TO THE FINANCIAL STATEMENTS

b. Remuneration of the Councilors'

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Luanshya Municipal Council are:

Aggregate Remuneration	K1, 080,000
Number of persons	30

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K9, 547,143
Number of persons	60

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

During the period under review the Local Authority did not receive any external assistance.

30. Third Party Payments

Luanshya Municipal Council during the period under review did not engage in any party's transactions.

APPENDICES

A. DEBTORS

The council has a total of K22,205,838 as at 31st December 2022 from Owners rates, Rentals levies, Plots and Bill Boards as per schedule below:-

No.	Details	B/F From 2021	Accruals In 2022	Total	Payment	Balance
1	DEBTORS		-			-
1	Owners Rates	11,912,458	34,558,059	46,470,517	34,403,212	12,067,305
2	Rentals (All Tenants)	1,372,737	1,069,680	2,442,417	541,262	1,901,155
3	Levies	928,464		928,464	424,553	503,910
4	Plots (All Categories)	9,152,602		9,152,602	1,795,653	7,356,949
5	Bill Boards	215,381	274,845	490,226	113,710	376,517
	Sub Total	23,581,642	35,902,584	59,484,226	37,278,390	22,205,836

APPENDICES

B. SUPPLIERS OF GOODS AND SERVICES

As at 31st December 2022 the Council owned different suppliers of goods and services a total amount of K5,483,213.

S/N	Creditors Ledger as at 31st December 2022	Balance As At 31 December 2022
1	Kwasco- Water Bills	2,245,419.52
2	Enias Chulu	330,520.00
3	Namwali Lodge	152,470.00
4	Nilkant Filling Station	48,394.87
5	Roan General Hospital	89,072.47
6	Shadrack Mwanza	3,750.00
7	Chindomu Gen Dealers	18,260.00
9	Pols General Dealers	8,100.00
10	Martha Mushina	25,000.00
11	W.K. Enterprise	117,650.00
12	Presolid Investment	74,860.00
13	Giant Steel Ltd	8,708.00
14	Mabmuk	1,737.00
15	Omwa	2,500.00
16	Graceland Enterprises	64,580.00
17	Zambia Daily Mail	35,707.45
18	Cfao Zambia	5,499.17
19	Line Link Africa	12,120.00
20	Mariachi Imports	5,645.00
21	Lawrence Mwewa	7,115.00
22	House Of Luanshya	1,126.00
23	Astrol Holdings	2,910.44
24	Preconstancy General Dealer	65,900.00
25	Jordan Imports	19,650.00
26	Zamnet	19,000.00
27	Yellowqwip	14,398.41
28	Norwell Gen. Dealers	19,975.00
29	Tibs Enterptises	7,200.00
30	Moka Tailors	36,685.00
31	Muvi Tv	230,633.53
32	Palmsoft	3,189.24
33	Luanshya Hospital	7,502.87
34	Jordan Imports	10,938.00
35	Mission Press	55,507.60
36	Kabronko	11,750.00
37	Luanshya Lab Equipment	7,600.00
38	Conmac Suppliers	78,500.00
39	Times Printpak	172,470.00
40	Hommies Investment Ltd	15,750.00
41	Sebenza Nawe	169,565.07
42	Government Valuation Dep	4,500.00
43	Neatoch Limited	93,600.00
45	Kafkan Electronics	5,250.00
46	Baywatch Inves Ltd	8,400.00
47	Znbc	24,128.00
48	Mishmark Zambia Limited	24,975.00
49	Freestop Enterprises	126,250.00
50	Ndatecha General Dealers	2,200.00
51	Wk Enterprises	16,060.00
52	One Stop Tyre Express Limited	49,360.00
53	Kalotech Enterprises	132,000.00
54	Lwamfwehardware Limited	151,150.00
54	Freestop Enterprises	8,750.00
55	Keelz Investment Limited	25,900.00
56	Omwa Enterprises	3,100.00
57	Grama Technologies	6,500.00
58	Linelink Africa Enterprises	17,260.00
59	Epitome Investments Limited	77,000.00
60	Chicle Contractors And General Dealers	22,500.00
61	M.C Michel Engineering And Contractors Ltd	38,800.00
62	Mishmark Zambia Limited	58,765.00
63	Seewmum Enterprises Limited	53,490.00
64	Miles Ahead Technocrats Ltd	25,915.00
65	Dt Legal Practioner (Hellen Banda)	300,000.00
		5,483,212.64

APPENDICES

C. STATUTORY OBLIGATIONS

As at 31st December 2022 the Council had unremitted statutory obligations amounting to K140, 082,071.

No.	Details	Balance As At 31st December 2022
1	Staff Creditors	
1	Long Service Bonus	5,680,403
2	Retirees Benefits	4,728,464
3	Settling In Allowance	415,383
	Sub Total	10,824,250
2	Statutory Obligations	
1	Madson Life	247,514
2	Zulawu	39,353